



The Talent Partner Unlocking Tomorrow's Workforces

AML Regulations & Compliance

Week 3: Day 11 — Regulatory Framework, Policies & Governance

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AML Regulations & Compliance

Day 11 – Regulatory Framework, Policies & Governance

Trainer: **Mahesh Gali, CAMS, CFCS, CALM**

AML compliance is an institution-wide responsibility.

Today's Agenda

A AML Regulatory Framework

B Bank-Specific AML Policies

C Compliance Expectations

D Regulatory Reporting Overview

E Governance & Internal Controls

Key message: AML compliance is an institution-wide responsibility — not just the AML team's job.



SECTION A — AML Regulatory Framework

SECTION A

AML Regulatory Framework

Why AML compliance exists

The U.S. legal framework

Key regulatory authorities

The risk-based approach



Introduction to AML Regulations & Compliance

- 1 Why banks must maintain AML / CFT compliance programmes
- 2 Preventing misuse for money laundering and terrorist financing
- 3 Identifying, monitoring and reporting activity as required by law
- 4 Responsibilities of regulators, banks, management and employees
- 5 Consequences of non-compliance – enforcement and reputational damage

Key message: AML compliance is an institution-wide responsibility, not just the AML team's job.

Everyone owns it: Front line, operations, compliance, audit and the board.

U.S. AML Regulatory Framework

1

Bank Secrecy Act (BSA)

Foundation of U.S. AML recordkeeping and reporting requirements

2

USA PATRIOT Act

Strengthened customer identification, due diligence and information sharing

3

AML Act of 2020

Reforms to strengthen and modernise the U.S. AML / CFT framework

4

OFAC sanctions

Separate but related obligations on prohibited parties and transactions

5

Federal & state requirements

Additional applicable rules and supervisory expectations

Key message: Banks must comply with applicable laws, implementing regulations and supervisory requirements.

Note: Sanctions obligations are separate from BSA / AML obligations.

Key U.S. Regulatory Authorities

Authority	Primary responsibility
FinCEN	Administers the BSA and receives SARs and CTRs
OCC	Supervises national banks and federal savings associations
Federal Reserve	Supervises applicable banks and bank holding companies
FDIC	Supervises applicable insured banks and administers deposit insurance
OFAC	Administers and enforces U.S. economic sanctions
FFIEC	Provides a common BSA / AML examination framework
State regulators	Supervise institutions under applicable state authority

Key message: Different agencies have different responsibilities — a bank may answer to more than one.

Risk-Based AML Compliance

- 1 Identify exposure to money laundering, terrorist financing and illicit finance
- 2 Assess risk from customers, products, services, transactions and geographies
- 3 Apply controls appropriate to the bank's risk profile
- 4 Allocate monitoring, staffing and investigative resources to the higher risks
- 5 Review the risk assessment when significant changes occur

Key message: Identify → assess → control → allocate → review. Stronger controls where the risk is higher.

Not: The same treatment for every customer, product and geography.



SECTION B — Bank-Specific AML Policies



SECTION B

Bank-Specific AML Policies

The compliance program

The five pillars

Key policy areas

Policy, procedure, control, escalation

The Bank AML / CFT Compliance Programme

The bank's written programme establishes how it meets its BSA / AML obligations

1

Policy, procedures
& controls

2

Designated BSA
compliance officer

3

Training for
appropriate personnel

4

Independent
testing

5

Ongoing CDD &
transaction monitoring

The programme must also include **applicable CIP and risk-based CDD procedures**.

Key message: Five pillars — all five must exist and all five must work.

Written and approved: The programme is board-approved and documented.

Key Bank-Specific AML Policies

Policy	What it covers
Customer onboarding	CIP, CDD and beneficial ownership
Customer risk	Risk assessment, EDD and ongoing review
Transaction monitoring	Monitoring scenarios, alert review and escalation
Suspicious activity	Investigation, SAR decisioning and filing
Sanctions	Screening, match resolution and restrictions
Recordkeeping	Required records, retention and access

Key message: Follow your bank's approved policies and procedures — not general regulatory knowledge alone.

When unsure: Check the procedure, then escalate. Do not improvise.

Policies, Procedures, Controls & Escalation

Policy

What the bank requires
— and why

Procedure

How an employee
performs a task

Control

How the bank checks
requirements are met

Escalation

Who receives a case
needing review or
approval

Exception

How departures are
approved and recorded

Example

A sanctions analyst identifies a potential match and follows the bank's procedures for review, escalation and payment handling.

Key message: Know which document governs the step you are about to take.

Record it: An exception that is not documented is a control failure.



SECTION C — Compliance Expectations

SECTION C

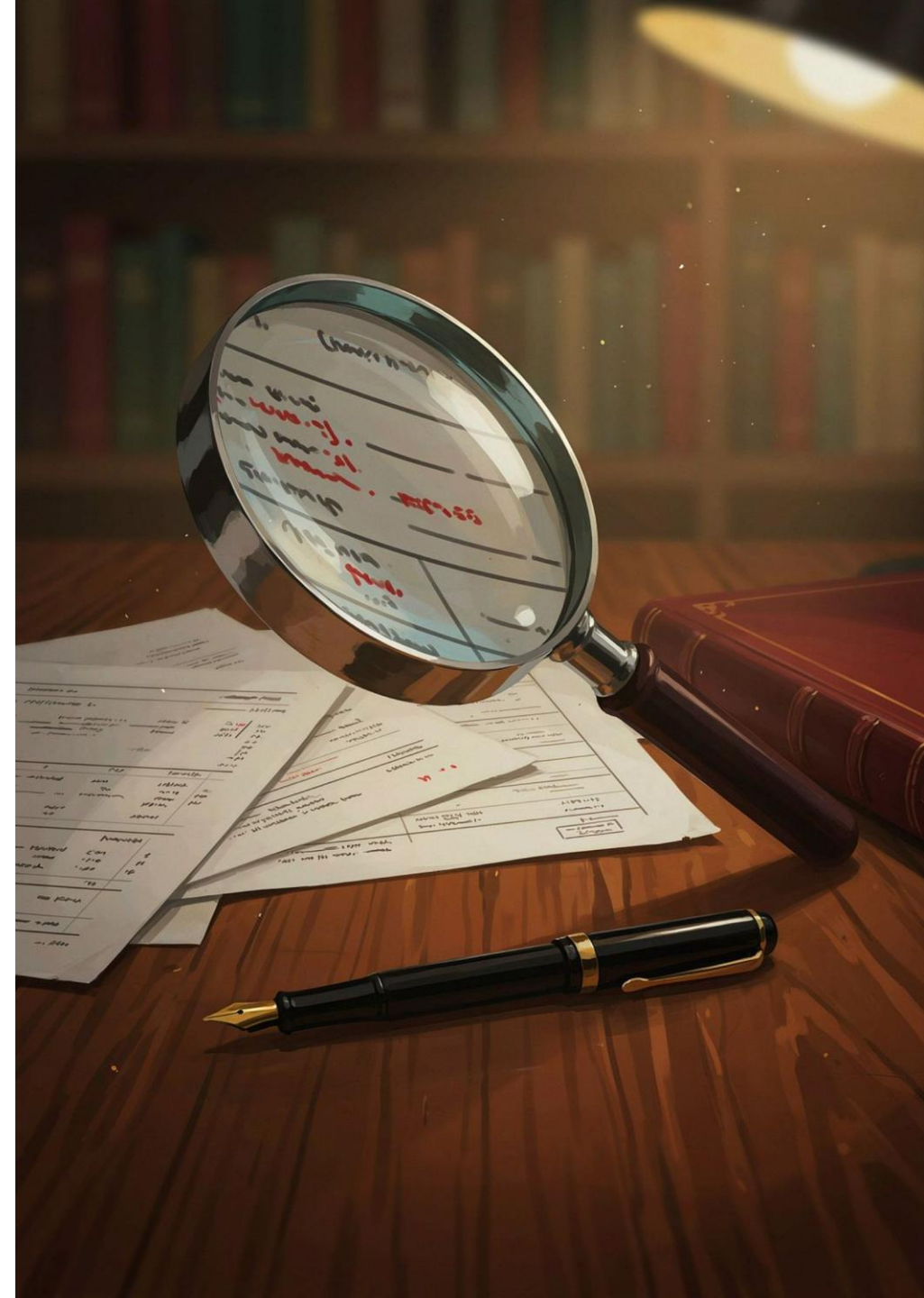
Compliance Expectations

What regulators expect

What the analyst owes

Quality control and assurance

Correcting weaknesses



What Regulators Expect From Banks

1 A written, board-approved BSA / AML compliance program

2 Internal controls appropriate to the risk profile

3 Effective implementation of policies and procedures

4 Appropriate staffing, oversight and employee training

5 Independent testing and timely correction of deficiencies

6 Compliance with applicable reporting and recordkeeping requirements

Key message: Having a policy is not enough — banks must implement and maintain it.

Examiners test: Whether the programme works in practice, not whether it exists on paper.

What Is Expected From an AML Analyst?

- 1 Follow approved procedures and assigned responsibilities
- 2 Complete reviews accurately and within internal deadlines
- 3 Base conclusions on facts and available evidence
- 4 Escalate material concerns and unresolved issues
- 5 Maintain accurate investigation records and audit trails
- 6 Protect confidential customer, investigation and SAR information
- 7 Report operational errors or control failures promptly

Key message: Accuracy, timeliness, confidentiality and escalation are the fundamentals.

Remember: Reporting your own error early is part of doing the job well.

Quality Assurance & Compliance Monitoring

1

Quality Control (QC)

Accuracy and completeness of individual cases

2

Quality Assurance (QA)

Patterns in work quality and adherence to procedures

3

Common findings

Missing evidence · incomplete analysis · wrong disposition · overdue reviews

4

Feedback

Identifies training needs and procedure improvements

5

Corrective action

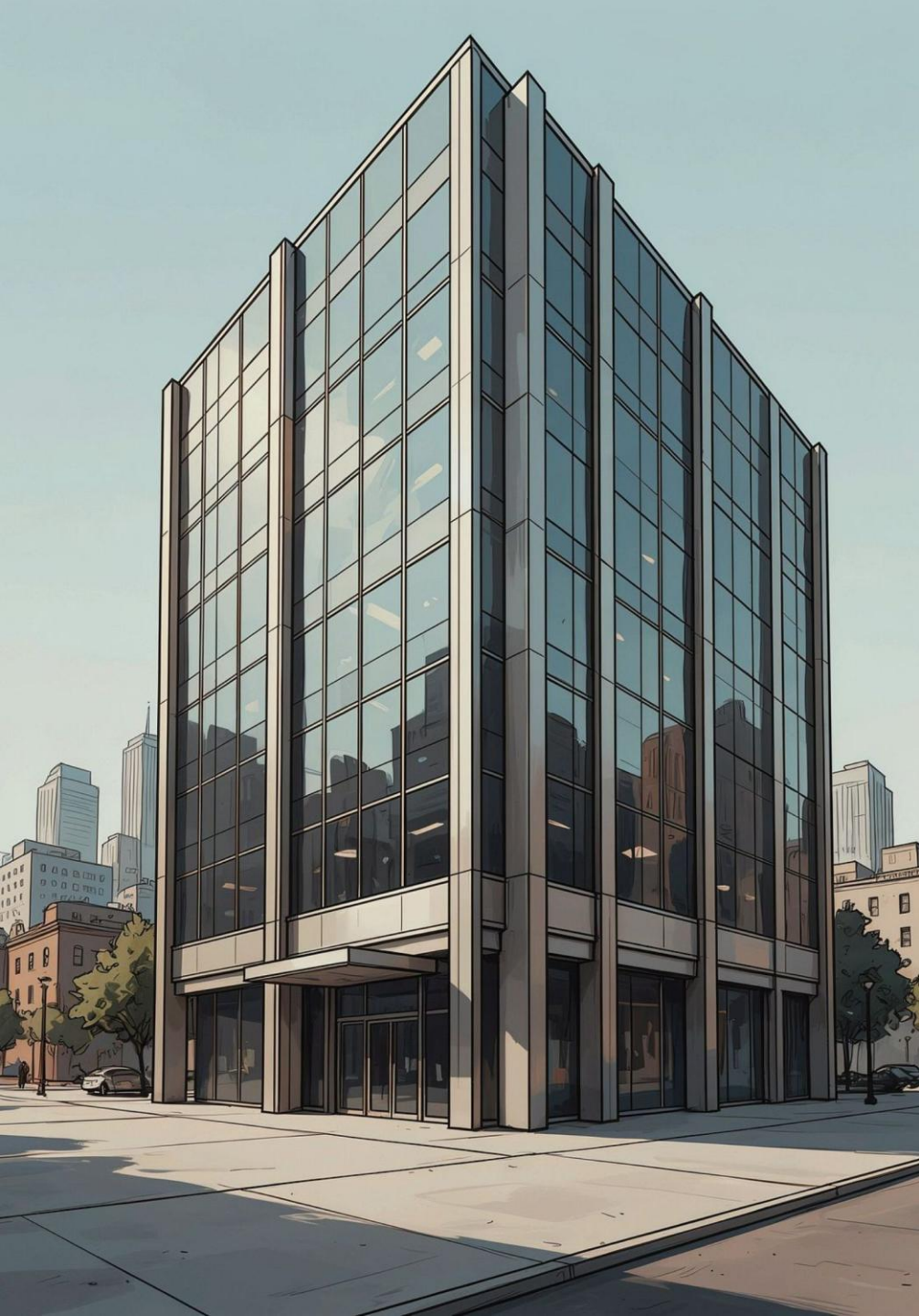
Fixes recurring errors and verifies the fix worked

Key message: Quality reviews catch weaknesses before they become compliance problems.

QC vs QA: QC looks at the case. QA looks at the pattern.



SECTION D — Regulatory Reporting Overview



SECTION D

Regulatory Reporting Overview

SAR and CTR obligations

Roles in the filing process

Recordkeeping periods

Confidentiality

Key BSA Regulatory Reports

Suspicious Activity Report (SAR)

Reports activity meeting applicable suspicious activity reporting criteria

Currency Transaction Report (CTR)

Reports qualifying currency transactions exceeding \$10,000

- 1 SAR and CTR obligations are separate
- 2 A transaction may require both if both sets of requirements are met
- 3 An internal monitoring alert does not create a regulatory reporting obligation

Key message: Threshold reporting and suspicion reporting answer two different questions.

Remember: Alert ≠ filing obligation.

SAR Filing: Roles & Responsibilities

1

Analyst

Investigates and documents the relevant activity

2

Reviewer / Supervisor

Evaluates the findings and the recommendation

3

Authorised decision-maker

Determines the disposition under bank procedures

4

SAR filing team

Prepares, reviews and submits through the required channel

5

Compliance oversight

Monitors timeliness, quality and adherence to procedures

Key message: The analyst investigates and documents — the decision and filing sit with defined roles.

Know your step: And know who owns the next one.

Regulatory Recordkeeping & Confidentiality

1 Retain required customer identification and transaction records for applicable periods

2 Maintain SAR copies and supporting documentation for five years from filing

3 Preserve investigation evidence and audit trails per requirements and bank policy

4 Restrict access to sensitive information on a need-to-know basis

5 Protect SAR confidentiality and avoid unauthorised disclosure

6 Follow approved procedures for regulatory or law-enforcement requests

Key message: SAR copies and supporting documentation — five years from the filing date.

Access: Need-to-know, always. Confidentiality is a control, not a courtesy.



SECTION E — Governance & Internal Controls

SECTION E

Governance & Internal Controls

Who is responsible

The three lines of defence

Essential internal controls

Testing, exams and remediation



AML Governance: Who Is Responsible?

Board of Directors

Approves the AML programme and oversees its effectiveness

Senior Management

Provides resources and ensures implementation

BSA / AML Compliance Officer

Coordinates and monitors day-to-day compliance

Business Teams & AML Analysts

Execute controls, identify concerns and escalate issues

Independent testing provides an additional assessment of the AML programme and reports findings to the board or designated committee.

Key message: Accountability runs from the board to the analyst — in both directions.

Three Lines of Defence

First Line

Business & Operations

Own the risks and execute day-to-day controls

Second Line

Compliance & Risk

Establish oversight, advise, monitor and challenge

Third Line

Internal Audit

Independently assess governance and control effectiveness

Responsibilities and escalation routes should be clearly defined

Independence helps ensure weaknesses receive appropriate attention

Key message: Managing AML risk requires cooperation and clear accountability across the institution.

Ask yourself: Which line am I in — and who challenges my work?

Essential AML Internal Controls

1

Preventive

Customer verification, approvals, access restrictions

2

Detective

Transaction monitoring, sanctions screening, exception reporting

3

Corrective

Issue remediation, process improvements, additional training

4

Data

Checks for missing, incomplete, inaccurate or duplicated information

5

Oversight

Management reporting, quality reviews, issue tracking

Example: if transaction data is missing from a monitoring system, data reconciliation and exception reporting help identify the problem.

Key message: A well-designed monitoring system still fails when its data or controls are inadequate.

Independent Testing, Examinations & Remediation

1 Independent testing assesses the compliance programme and its implementation

2 Regulatory examinations evaluate controls and compliance with requirements

3 Findings may involve policies, systems, reporting, staffing or documentation

4 Management develops corrective-action plans with owners and target dates

5 Progress is tracked, and completed actions are verified

Testing frequency and scope should be appropriate to the bank's risk profile

Key message: Identifying a control weakness is only the beginning — the bank must also fix it.

Day 11 – Key Takeaways

01 AML compliance is institution-wide

02 BSA is the foundation; sanctions are separate

03 Follow your bank's policy, not general knowledge

04 Having a programme ≠ implementing it

05 Accuracy, timeliness, confidentiality, escalation

06 A finding is only closed when it is fixed

Closing thought: Know the rule, follow the procedure, document the work, and escalate what you cannot resolve.

